KUVERA INVESTOR EDUCATION GUIDE

How to Stop, Cancel and Redeem Mutual Fund SIP

A Systematic Investment Plan (SIP) is an excellent vehicle for disciplined, long-term wealth creation. However, dynamic financial situations require flexibility. As an investor, you maintain complete regulatory control over your investments and have the right to alter, halt, or withdraw your commitments at any stage without penalty.

1. Understanding the Core Concepts

Before initiating changes, it is essential to distinguish between the various lifecycle actions available for your automated mutual fund investments:

- **Stopping / Cancelling an SIP:** Permanently terminates future monthly automated debits. Your existing accumulated corpus remains securely invested in the fund, continuing to generate compounding market returns until you choose to withdraw it.
- **Pausing an SIP:** Temporarily halts monthly debits for a specified short-term window (typically between 1 to 6 months) to manage transient cashflow shortages. Debits resume automatically post-expiry.
- **Redeeming Units:** Cashing out your accumulated units. This instructs the Asset Management Company (AMC) to liquidate your investment and transfer the proceeds into your registered bank account.

2. How to Stop / Cancel an SIP Online

Online execution is highly efficient, minimizing paperwork and significantly reducing transition windows. There are three primary frameworks to cancel online:

Method A: Through the Kuvera / Wealth Management Platform

- ✓ Log in to your verified account via the application dashboard.
- ✓ Navigate to the **Portfolio** tab and select the specific mutual fund scheme you intend to alter.
- ✓ Click on **Manage Funds** or look for the active systematic schedules.
- ✓ Select the ongoing SIP schedule and click on **Cancel / Stop SIP**. Confirm using the secure OTP protocol sent to your registered mobile or email.

Method B: Direct via the AMC Web Portal

If you prefer direct interaction with the manufacturing mutual fund house, follow these steps:

- ✓ Visit the official portal of the respective Asset Management Company (e.g., SBI Mutual Fund, HDFC Mutual Fund).
- ✓ Log in using your permanent credentials (PAN, Folio Number, or associated Bank Account details).

- ✓ Locate the active systemic schedules section, identify the target SIP mandate, and trigger **Cancel SIP**.

> **Important Lead Time Note:** A processing lead time of roughly 15 to 21 business days is generally required by banking systems and Registrar & Transfer Agents (RTAs like CAMS/KFintech) to pull out a registered electronic NACH mandate. Initiate your cancellation at least 3 weeks before the next scheduled debit date to prevent unexpected deductions.

3. How to Cancel an SIP Offline

For investors relying on physical execution, the systemic workflow requires structured manual documentation:

- **Step 1: AMC Notification:** Obtain an official *SIP Cancellation Form* from the local office of the AMC or download it from their online portal. Fill in details including Folio Number, Scheme Name, PAN, and requested termination date.
- **Step 2: Bank Mandate Erasure:** To completely safeguard your account against subsequent automated debit attempts, present a copy of the cancellation request or an explicit written mandate instruction directly to your home bank branch to revoke the active NACH/e-NACH auto-debit authority.

4. The SIP Pause Alternative

If you are experiencing temporary liquidity gaps, terminating your disciplined cycle permanently may set back your financial goals. Opt instead for the **SIP Pause Facility**:

- **Duration limits:** Most major AMCs permit a structural pause ranging from a minimum of 1 month up to a maximum cap of 6 months.
- **Operational flow:** Complete the online 'SIP Pause' request form directly on the interface, choosing your desired suspension window. Once this predefined period elapses, systematic monthly debits safely reboot without requiring a fresh mandate configuration.

5. How to Redeem Mutual Fund Units

When you need to liquidate your capital, the execution paths mirror the purchasing channels:

Online Liquidation via Kuvera

1. Navigate straight into your active asset **Portfolio** section.
2. Drill down into the specific fund scheme and click the **Redeem** action element.
3. Input the precise target monetary valuation or opt for **Redeem All** if completely exiting.
4. Upon secure verification, the transaction gets pushed down to processing.

Settlement Timelines and Fiscal Responsibilities

Redemption proceeds are electronically credited via NEFT/RTGS directly into your linked primary bank account. The industry standard settlement turnaround times (TAT) stand as follows:

Asset Category Type	Standard Settlement Cycle
Liquid / Overnight Debt Funds	T + 1 Business Day
Equity / Balanced Hybrid Funds	T + 2 to T + 3 Business Days
International / Fund-of-Funds	Up to T + 5 Business Days

Cautionary Fiscal Elements:
• **Exit Loads:** Review if the redemption takes place within the fund's exit penalty window (often 1 Year for equity schemes) to avoid a 1% structural fee deduction.
• **Taxation:** Capital gains tax applies upon exit. Short-term and long-term gains classifications apply based on holding periods.
• **ELSS Lock-Ins:** Equity Linked Savings Schemes (ELSS) carry an absolute statutory lock-in period of 3 full years from the exact date of allocation for each individual SIP installment.

Reference: Process workflow adapted from Kuvera Knowledge Portal. For specific account updates or recent dashboard interface variations, refer to official platform guides.